

The things that need to be checked are-

*Check supplier bargaining power and risks on future supplies in case of delayed payments.*

We have to understand whether the company faces any risk of shortage of raw materials or complete stoppage by its suppliers, due to delay in payments or longer credit terms.

The company seems to be having high bargaining power and there is limited risk of supplying limiting supply to the company.



*Cash purchases versus credit purchases*

Next, we need to understand and evaluate the difference in terms when making a cash purchase against making a credit purchase. When a buyer makes cash payment for certain items, they get supplies on preferred terms and are also offered various cash discounts. Such benefits at times can lead to tangible competitive advantage. Therefore, we must understand the benefits of cash against credit purchases.



*Check actual credit terms with DSP*

Next, we need to compare the credit terms offered and actual Days Sales Payable. If day sales payable is high and actual credit terms are low, then we can say that the company is not disciplined and the payments take longer than they should. We do not need to focus on the quality of creditors, as in this case, we will make payments and not receive them. As seen, the company makes payments on time, and there are no delayed payments.



Getting relevant data for many of these questions will be a challenge, particularly for larger companies. We will try to work with whatever data we can get and move further.